OLD

Total No. of Pages 2

OLD SCHEME

Roll No. .....

B.Tech.

END SEMESTER EXAMINATION

MAY-2018

EN/CO-216 ENGINEERING ECONOMICS AND ACCOUNTANCY

EN/CO/EC/EN/IT/PE

Time: 3:00 Hours

Max. Marks : 70

Note : Answer any *FIVE* questions.

Assume suitable missing data, if any.

All questions carry equal marks.

1[a] Discuss various determinants of demand and bring out difference between normal commodity and inferior commodity. 7

[b] Define cross-elasticity of demand and calculate cross-elasticity of demand for tea with respect to price of coffee if the price of coffee increases from Rs.10 to Rs.15 per 10grams and as a result demand for tea increases from 20 tons to 30 tons per week, price of tea remaining constant 7

2[a] Explain the relationship between Average Revenue, Marginal Revenue and Price elasticity

[b] Given the demand function and total cost function of a perfectly competitive firm as:

P= 100 – 2X and TC=50 +2X

What level of output will maximize total profit and what are the corresponding values of price (P), profit and Total Revenue. 7

3[a] You want to set up a college saving plan for your daughter. She is currently 10 years old and will go college at the age 18. Assume that when she starts college, she will need at least 100,000 in the bank. How much do you need to save each year in order to have the necessary fund if the current rate of interest is 7%. 7

[b] Explain the concept of Break Even Point and from the following information calculat the Break even point and turnover required to earn a profit of 40,000. Fixed overhead is Rs.2,00,000, selling price is Rs.25 and variable cost per unit is Rs.5.

4[a] An engineer has two bids for an elevator to be installed in anew building. The details f